

PSK INTELLIGENCE — COMPLIANCE NOTE

FEG Innovation Hackathon 2026 · Challenge 1: Session Quality & Session-to-Action Conversion
One-page EU baseline + Croatian responsible-gambling + responsible-AI design note.

COMPLIANCE PRINCIPLE
PSK Intelligence optimises relevance and friction reduction, not gambling intensity. It must never create artificial urgency, manipulate users, encourage harmful play, or interfere with self-exclusion/responsible-gambling safeguards. A completed journey may end with **NONE** / Exit rather than another engagement prompt.

1. EU BASELINE — DATA, CONSUMER & AI GOVERNANCE

- **GDPR:** session/event data and behavioural signals require a lawful basis, defined purpose, data minimisation, appropriate retention/security and transparent notices. Profiling must be disclosed where applicable; solely automated decisions producing legal or similarly significant effects require Article 22 safeguards.
- **Responsible gambling baseline:** European Commission Recommendation 2014/478/EU supports age protection, responsible-gambling information, player support/self-assessment and access to assistance. It is a baseline recommendation; national gambling law remains controlling.
- **EU AI Act:** the design must not use prohibited manipulative/deceptive AI practices or exploit vulnerabilities to cause harm. The prototype does not make legal/financial eligibility decisions through AI. Future profiling/use cases require an applicable AI Act assessment before production deployment.

2. CROATIAN RESPONSIBLE-GAMBLING CONTROLS

- **Age protection:** Croatian gambling rules prohibit participation by persons under 18 and place responsibility on the operator to enforce the prohibition.
- **Self-exclusion:** 2025 Croatian amendments establish the excluded-player register and require operators to ensure excluded players cannot participate. Remote betting/casino rules provide a defined process and 24-hour framework for register processing/activation.
- **Responsible information:** Croatian rules require responsible-gambling information, under-18 warnings, information on potential harm and access to professional assistance; PSK Intelligence must preserve, never suppress, these surfaces.
- **AML:** Croatian AML legislation treats gambling operators, including online gambling, as obliged entities. The intelligence layer must not bypass or weaken KYC/AML, transaction monitoring or regulatory controls.

3. PSK INTELLIGENCE — DESIGN CONTROLS

- **Responsible Gate:** every adaptive recommendation/presentation passes deterministic safeguards. Account, transaction, legal and responsible-gambling notices retain required priority.
- **No pressure mechanics:** no artificial scarcity/urgency, streaks, loss-chasing prompts, forced continuation, dark patterns or notifications designed to prolong play.
- **Intent, not persuasion:** the system converts existing observable intent into a clearer action; it does not manufacture intent. Relevance can result in **NONE** when no useful intervention exists.
- **Payments:** AI does not steer users toward a particular financial instrument or increase deposits. Eligibility and restrictions remain deterministic.
- **Data governance:** prototype data is anonymised/aggregated; raw player IDs, tokens and URLs are not exposed. Production requires privacy/DPIA review, access controls, retention rules and model/data governance.
- **Measurement:** success is session quality, conversion, time-to-action and friction reduction. Harmful-play indicators must not increase; engagement duration is not a success KPI.

4. COMPLIANCE-BY-DESIGN TRACE

Capability	Control	Decision
Search / relevance	Contextual relevance; no pressure	Allowed
Notifications	Priority + responsible gate	Relevant / Silence
Friction detection	Journey signals; no harmful-user labelling	Diagnostic only
Payment	Deterministic eligibility; no AI steering	Rule-based
Self-exclusion / RG	Existing controls cannot be bypassed	Hard guard

Sources / baseline: GDPR Regulation (EU) 2016/679 (Arts. 5, 13–15, 22); EU AI Act Regulation (EU) 2024/1689; European Commission Recommendation 2014/478/EU; Republic of Croatia, 2025 amendments to the Gambling Act and 2025 implementing rules on remote betting/casino and player exclusion; Croatian AML legislation. Hackathon design-control summary, not legal advice; production deployment requires FEG legal/compliance validation.